

Federal HR 2.0 / Core HCM Consolidation

Leadership Summary — New OPM/OMB Guidance and Its Impact on Our Identity Automation Roadmap

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Bottom Line

- **The federal government is consolidating 100+ HR systems into one platform.** A joint OMB/OPM memorandum (December 10, 2025) directs consolidation of all Core Human Capital Management (HCM) systems into a single government-wide platform, with adoption targeted by FY 2028.
- **The platform is decided: Oracle Fusion Cloud HCM** (~\$395.8M, 10-year contract, awarded June 2026).
- **SSA is in Wave 2, transitioning fully in FY 2027.** Our "2027 Target" identity architecture — which assumes a cloud HR system becomes the authoritative source for identity — now aligns with a real, named program on a real timeline.
- **No federal guidance dictates the identity integration layer.** Federal policy is deliberately vendor-neutral there. The concrete integration path (Oracle HCM feeding Microsoft Entra ID) exists and is documented by Microsoft, but implementing it is an agency decision — ours to plan.

1. What Happened

On December 10, 2025, OMB and OPM jointly issued the memorandum *"Creating 'Federal HR 2.0' by Consolidating Core Human Capital Management Across the Federal Government"* (signed by OMB Director Russell Vought and OPM Director Scott Kupor). Key directives:

- Consolidate 100+ Core HCM systems government-wide into one platform covering personnel actions, the employee system of record, position management, self-service, analytics, time & attendance, and learning.
- **Agencies must pause their own Core HCM procurements and modernization efforts;** exceptions require joint OMB/OPM Director approval.
- Legacy systems eOPF and EHRI will eventually be made redundant and decommissioned.

In June 2026, OPM awarded the platform contract to **Oracle Fusion Cloud HCM** (an earlier, quietly-made Workday award was withdrawn and re-competed).

2. Timeline and Waves

Milestone	Date	Notes
OMB/OPM memo issued	Dec 10, 2025	Program authority established
Oracle Fusion HCM contract awarded	Jun 2026	~\$395.8M / 10 years; earlier Workday award withdrawn and re-competed
Wave 1 onboarding begins	FY 2026	DHS, USDA, HHS, DOI, OPM, DOT, VA, EPA (~900K FTE)
Wave 2 — includes SSA	Fully in FY 2027	Plus DOC, ED, HUD, DOL, SBA, State, DOE, DoW, NASA, GSA, DOJ, Treasury (~1.1M FTE)

Government-wide adoption goal	FY 2028	Per memo
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Sample agency onboarding runs ~8 months, with system interconnections going live around month 5 — that is the window where an agency's identity feed would be stood up.

3. Identity Integration: What Policy Says — and Doesn't

The memo says almost nothing about identity, **on purpose**. It requires the platform to integrate with other federal HR systems and directs agencies to define integration points and data flows, but it never mentions identity providers, Active Directory, Entra ID, or ICAM. Interface specifics live in the (non-public) procurement Performance Work Statement.

Identity is instead governed by standing, vendor-neutral federal frameworks:

- **OMB M-19-17 (ICAM policy):** agencies must use authoritative sources — HR systems among them — for identity data.
- **GSA/FICAM Identity Lifecycle Management Playbook:** states the doctrine directly — the HR/personnel system is the sole driver of identity creation and termination — with joiner/mover/leaver lifecycle stages and standard provisioning protocols. Note: the playbook is best practice, not a mandate.

Translation for us: no one in the federal government will hand us an "Oracle-to-Entra" specification. The doctrine (HR drives identity) is federal best practice; the implementation is ours to design.

4. The Concrete Integration Path Exists

Microsoft maintains a dedicated, current integration guide for exactly this scenario: Oracle HCM worker data flowing into Entra ID via API-driven inbound provisioning. Notably, Microsoft's reference architecture supports **two provisioning targets**:

1. **Cloud-only:** identities created directly in Entra ID.
2. **Hybrid:** identities created in on-premises Active Directory first, then synchronized to the cloud.

These two targets map one-for-one onto the two editions of our identity automation kit (Current State: hybrid, AD-mastered; 2027 Target: cloud HR-mastered). The architecture we built anticipates the government-wide direction.

Licensing note: the automated provisioning path requires Entra ID P1 at minimum, with the Entra ID Governance add-on for full joiner/mover/leaver workflow automation.

5. What This Means for Our Program

1. **Our target architecture is validated and can now be named.** "The future HR system" is no longer hypothetical — it is Oracle Fusion Cloud HCM under Federal HR 2.0, arriving for SSA in Wave 2, FY 2027.
2. **Our interface assumptions now have a real shape.** The inbound identity feed pattern we designed against has a direct, documented analog in the Oracle-to-Entra integration.

3. **The planning window is short.** If SSA's Wave 2 onboarding follows the sample 8-month plan, interconnection design happens mid-transition — identity integration requirements should be on the table when SSA's onboarding begins, not after.

6. Open Questions / Watch Items

- **GCC tenant verification needed:** public documentation confirms government cloud SKUs for Entra ID Governance exist, but availability of the specific API-driven provisioning and lifecycle workflow features in our GCC environment is not conclusively confirmed. Recommend a tenant check or confirmation through our Microsoft representative. (No evidence it is unavailable — just no explicit confirmation found.)
- **PWS Requirements (Appendix A):** the procurement document defining agency-visible interface requirements is referenced in the memo but not public. Watch for agency-level distribution.
- **Follow-on OPM memo:** the memo promises subsequent guidance on HR services consolidation.
- **EHRI decommissioning:** EHRI's reporting guide is today's de facto HR data interface standard; it goes away eventually, and the replacement data contract will matter to us.

Key Sources

- Federal HR 2.0 memo (OMB/OPM, Dec 10, 2025) — primary source, read in full
- OPM press releases: "One HR System" announcement; Core HCM contract award
- Oracle press release (Jun 11, 2026)
- GSA/FICAM Identity Lifecycle Management Playbook (idmanagement.gov)
- Microsoft Learn: Oracle HCM automatic user provisioning; API-driven inbound provisioning; Entra ID Governance licensing